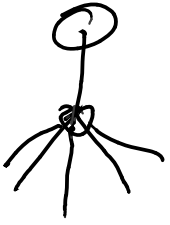
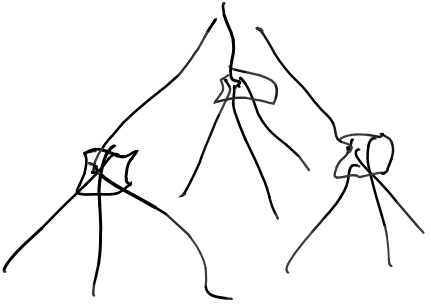
Business Strategy

Luke - 3 days - TA - walmart

Timothy Gubler, PHD - 5 kids

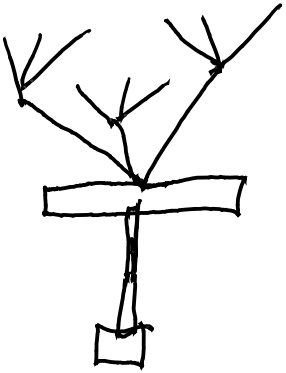


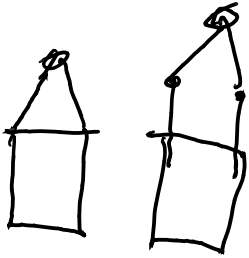


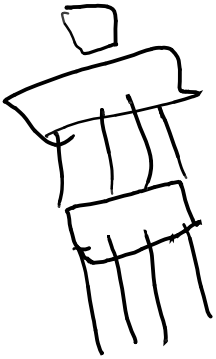
16 sticks

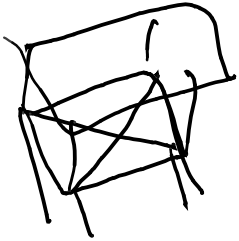
7 marshmellows

1 Big one









Strategy — Plan - create a sustainable competitive Advantage in a market

Strategy is creating and capturing value

1st framework — are tools to helpus think

(1) Who are we serving?

Competing

(2) What are you offering

products

FOCUS

(3) How are you able to deliver

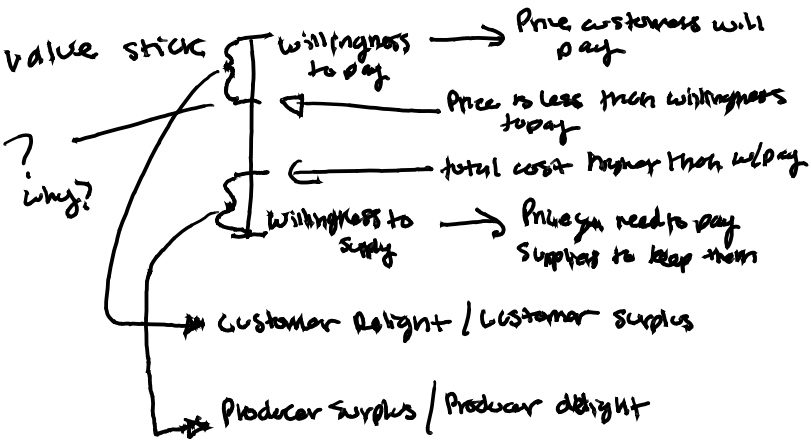
GTM

(4) Why wont you be copied?

Google?

Strategy

We compete on value



AI → Neither a big problem?

$\boxed{\text{AI}}$ Not AI

We can quantify SCA

great strategies have these 3 ?

Strategy – is a plan to win

Competitive advantage – create more value than our Average competitors

Profitability measures value

Focus in a plan

Key choices?

① Purpose (foundation) ② Operating ③ Customer

④ How to deliver ⑤ Safeguards

A sustainable competitive advantage when we have a role, safeguards to imitation

Why we care about vision, mission, values?

→ Be motivating ↳ understand what it means to win

Crux is defined as

- the hardest part
  ↳ most important problem to solve

☐ module review summary

☐ How we grade cases

☐ AI use?

Costs

Relative Cost Analysis

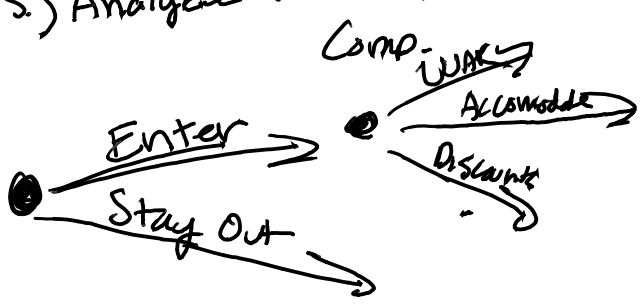
1.) Identify key cost drivers

2.) Gather info

3.) Manipulate Assume → understand assumption

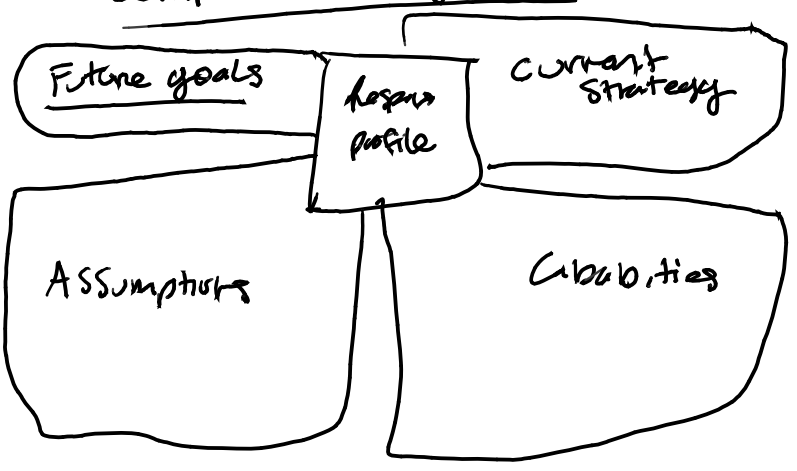
4.) Analyze Position

5.) Analyze Activities



Nash Equilibrium

Competitor Analysis



1986

↳ Comp dropped prices

1991

↳ Expansion, customer success

Rise from Ashes

↳ Oleary

↳ find a niche – low cost low fare

Takeaways

- Problems

Foundation in purpose

4 Key Questions

Who are you serving?

What are you offering?

How are you going to deliver?

Why want you be copied?

Key principles

1.) Industry Analysis

2.) Strategy

3.) job – what forces must hold to win

4.) industry analysis – How to read the game is

Strategy – how to play the game

4 top firms + = . X > 80

5 forces Porter Forces

① threat of New Entrants

② Bargaining Power of suppliers

③ Bargaining Power of Buyers

④ Threat of substitutes

⑤ Rivalry Among existing competitors

Rivalry

1.) # and size of competitors

• concentrated vs fragmented

2.) Product differentiation

• Coal, salt, Harley

3.)

Buyer

- few buyers
- Can Backward int.

Supplier

- few suppliers
- Can forward int.

4.) Threat of Entry

1.) Economies of scale

2.) Capital requirements

3.) Switching costs

5.) Threat of substitutes

Library. buyer.

- available online
- serve IBS world

PESTLE ANALYSIS

Political Economic Social Technological Legal Environment

- prioritizing what can change the industry